

# Electronic Transactions Act, 2006

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Electronic Transactions Act, 2063

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Amending Acts

1. Act to Amend Some Nepal Acts to Maintain Gender Equality and End Gender-Based Violence, 2072 2072.06.14
2. Act to Amend, Consolidate, Adjust and Repeal Some Nepal Laws, 2072 2074.06.30
3. Act to Amend Some Nepal Acts, 2082 2082.04.14

Act No. 27 of the year 2063

An Act Made to Provide for Electronic Transactions

Preamble: Whereas, it is desirable to make transactions through the medium of electronic data interchange or any other electronic communication reliable and secure, to provide for recognition, authentication, integrity and reliability of the system for creation, production, processing, storage, transmission and communication of electronic records and to make legal provisions for providing authentication and regulation, and to make legal arrangements to control the unauthorized use of electronic records or the unlawful alteration of such records,

Now, therefore, the House of Representatives has enacted this Act in the first year of the proclamation of the House of Representatives, 2063. Chapter-1

Preliminary

1. Short Title, Extent and Commencement: (1) This Act may be called the "Electronic Transactions Act, 2063."

(2) This Act shall be deemed to have commenced from the 24th day of the month of Bhadra of the year 2063.

(3) This Act shall apply throughout the State of Nepal, and this Act shall also apply to any person, wherever residing, who commits an offense in violation of this Act. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Asymmetric Crypto System" means a system that generates a secure pair of keys, consisting of a private key for creating a digital signature and a public key for verifying a digital signature.

(b) "License" means a license obtained pursuant to Sub-section (3) of Section 18.

(c) "Originator" means a person who generates, stores or transmits an electronic record, and said term also denotes a person who instructs another person to do such act.

Provided that said term shall not denote an intermediary.

(d) "Computer" means an electronic, optical or other high-speed data processing mechanism or system

performing logical, arithmetic and memory functions by manipulating electromagnetic or optical impulses, and said term also denotes all input, output, processing, storage functions and computer software or communication facilities connected or associated with a computer within a computer system or computer network.

(e) "Computer Data Base" means a representation of information, knowledge, concepts or instructions, formally prepared or being prepared, or produced by a computer, computer system or computer network, in letters, images, sound or audio-visual form, intended for use in a computer, computer system or computer network.

(f) "Computer Network" means the interconnection of two or more computers that are inter-linked or in communication with each other.

(g) "Computer System" means any device or group of devices, including input and output support devices, containing computer programs, electronic instructions, input and output data, and performing functions including logical, arithmetic, data storage and retrieval, communication and control.

(h) "Computer Resource" means a computer, computer system, computer network, data, computer data base or software.

(i) "Subscriber" means a person who has obtained a certificate pursuant to Sub-section (3) of Section 31.

(j) "Key Pair" means a pair of keys in an asymmetric crypto system, consisting of a private key and a mathematically related public key, which has the property that the public key can verify the digital signature created by the private key.

(k) "Data" means a representation of information, knowledge, facts, concepts or instructions in any form, formally prepared and stored or processed intended for processing in a computer system or computer network, or stored in computer memory.

(l) "Tribunal" means the Information Technology Tribunal constituted pursuant to Section 60.

(m) "Private Key" means one key of a key pair used to create a digital signature.

(n) "Controller" means the Controller appointed or designated pursuant to Section 13.

(o) "Digital Signature" means a signature in any electronic form included in the transformation of an electronic record using an asymmetric crypto system of such a nature that a person having the untransformed original electronic record and the signatory's public key can accurately determine the following:

(1) Whether the transformation of the electronic record was created using a private key that corresponds to the signatory's public key, and

(2) Whether the original electronic record has been altered since the transformation of the electronic record was made.

(p) "Access" means the opportunity to gain entry to, instruct or communicate with the logical, arithmetic or memory functions of a computer, computer system or computer network.

(q) "Appeal Tribunal" means the Information Technology Appeal Tribunal constituted pursuant to Section 66.

(r) "Certificate" means a digital signature certificate issued by a Certification Authority pursuant to Section 30.

(s) "Certification Practice Statement" means any statement issued by a Certification Authority specifying the

practices that the Certification Authority will follow when issuing digital signature certificates.

(t) "Certification Authority" means a licensed Certification Authority obtaining a license pursuant to Sub-section (3) of Section 18 to issue digital signature certificates.

(u) "Recipient" means a person who receives electronic records transmitted as per the desire of the originator.

Provided that said term shall not denote an intermediary.

(v) "Electronic Record" means data, record, image or sound created, transmitted, received or stored through any medium in electronic form.

(w) "Electronic Form" means the form of information created, transmitted, received or stored through any magnetic, optical, computer memory or other similar device.

(x) "Public Key" means one key of a key pair used to verify a digital signature.

(y) "Information" means data, text, images, sound, codes, computer programs, software and computer data bases.

(z) "Information System" means a system for creating, producing, transmitting, receiving, storing, displaying or otherwise processing information.

(aa) "Software" means any specific part of a computer system, such as system software and application software, capable of operating computer hardware.

(ab) "Computer Content" means computer resources, information used by an organization in its business, materials such as software prepared or purchased by such organization, and technology such as hardware and computer networks.

(ac) "Government Agency" means a Ministry, Secretariat, Department or office under it of the Government of Nepal, a Constitutional body or office under it, a Court or Tribunal, or an office of the Nepali Army, and said term also denotes other offices of a similar nature.

(ad) "Public Body" means the following bodies:

(1) Companies, banks or committees wholly or partially owned or controlled by the Government of Nepal, or Commissions, institutions, authorities, corporations, foundations, boards, centers, councils and other organized institutions of a similar nature established by the Government of Nepal pursuant to the prevailing law,

(2) Universities, schools, research centers and other similar academic or educational institutions operated by the Government of Nepal or receiving full or partial grants from the Government of Nepal,

(3) Local bodies constituted pursuant to the Local Self-Governance Act, 2055,

(4) Institutions operating on loans, grants or guarantees of the Government of Nepal,

(5) Institutions wholly or partially owned or controlled by, or receiving grants from, institutions listed in sub-clauses (1), (2), (3) or (4),

(6) Other institutions designated as public bodies by the Government of Nepal by publishing a notice in the Nepal Gazette.

(ae) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act.

## Provisions Relating to Electronic Records and Digital Signatures

3. Authentication of Electronic Records: (1) Subject to this section, any subscriber may authenticate an electronic record by affixing his or her digital signature.

(2) When performing the act of authenticating an electronic record pursuant to Sub-section (1), it shall be necessary that the act of transferring such electronic record to another electronic record is done through the use of an asymmetric crypto system and a hash function.

Explanation: For the purpose of this section, "hash function" means a function which maps or transforms a string of bits into a smaller set (hash result) such that:

- executing the algorithm on the same record as input each time produces the same hash result;
- it is computationally infeasible to derive or reconstruct the original record from the hash result produced by the algorithm; and
- it is computationally infeasible to find two records that produce the same hash result using the algorithm.

(3) Any person may verify an electronic record using the subscriber's public key. 4. Legal Recognition of Electronic Records: Where any provision of the prevailing law requires that any information, document, record or any other matter be kept in written or printed form or typed form, if such information, document, record or matter is kept in the form of an electronic record by completing the procedure mentioned in this Act or the rules made under this Act, then such electronic record shall also have legal validity. 5. Legal Recognition of Digital Signatures: Where any provision of the prevailing law requires that any information, document, record or any other matter be authenticated by signature or that any document bear the signature of any person, if such information, document, record or matter is authenticated by a digital signature by completing the procedure mentioned in this Act or the rules made under this Act, then such digital signature shall also have legal validity. 6. Requirement to Retain Electronic Records: Where any provision of the prevailing law requires that any information, document or record be retained for a specific period, if such information, document or record is retained in electronic form fulfilling the following conditions, such information, document or record shall have legal validity:

- (a) if it is kept in an accessible state for subsequent reference,
- (b) if it is retained in a format that can be displayed to be accurately reproduced as it was initially created, transmitted, received or stored,
- (c) if details enabling the identification of the origin, destination, date and time of transmission or receipt are kept available. Provided that the provision of this clause shall not apply to any information automatically created for the purpose of transmitting or receiving a record. 7.

Electronic Record Satisfies the Requirement to Produce Original Record: Where the prevailing law requires that a record be produced or retained in its original form, such requirement shall be deemed satisfied by an electronic record if the following conditions are met: (a) there exists a basis as prescribed to believe that the record has not been altered in any manner since the time it was first created in electronic form, (b) where the record is required to be produced before any person, it is of a nature that can be clearly shown to that person before whom it is required to be produced. 8. Secure Electronic Record: If an electronic record created by adopting a security procedure as prescribed has been tested as prescribed to determine whether any tampering has been done to such record, then such electronic record shall be deemed a secure electronic record. 9. Secure Digital Signature: If a digital signature affixed to an electronic record has been tested and verified as prescribed by adopting a security procedure as prescribed, then such digital signature shall be deemed a secure digital signature. Chapter-3 Provisions Relating to Transmission, Receipt and Acceptance

of Electronic Records 10. Attribution of Electronic Record: (1) An electronic record shall be attributed to an originator in any of the following circumstances: (a) if the originator himself or herself transmitted such electronic record, (b) if a person authorized on behalf of the originator to perform necessary acts in respect of such electronic record transmitted such electronic record, (c) if such electronic record was transmitted from an information system programmed to operate automatically on behalf of the originator. (2) In relation to an electronic record transmitted pursuant to Sub-section (1), if circumstances as prescribed exist, the recipient shall have the right to assume that any such electronic record belongs to a particular originator and act on that basis. 11.

Procedure for Acknowledging Receipt of Electronic Record: (1) Where, at the time of sending an electronic record or before sending it, the originator has requested the recipient to send a notice or acknowledgment of receipt of such electronic record, or where the recipient and the originator have agreed that such a notice or acknowledgment be sent, the provisions of Sub-sections (2), (3) and (4) shall apply regarding the acknowledgment of receipt of such electronic record. (2) Where the originator and the recipient have not agreed that the notice or acknowledgment of receipt be given in a specific format or by a specific method, such notice or acknowledgment may be given as follows: (a) by means of automatic or any other kind of communication from the recipient, (b) by any conduct of the recipient sufficient to indicate to the originator that the electronic record has been received. (3) If the originator has stated that the electronic record shall be binding on him or her only upon receipt of a notice or acknowledgment of receipt of such electronic record from the recipient, the electronic record shall not be deemed sent by the originator until such notice or acknowledgment of receipt is received from the recipient. (4) If the originator has not stated that the electronic record shall be binding on him or her only upon receipt of a notice or acknowledgment of receipt of such electronic record from the recipient, and if no time has been fixed or agreed upon between the originator and the recipient regarding the notice or acknowledgment of receipt, the originator must have received the notice or acknowledgment of receipt of such electronic record from the recipient within the time as prescribed. If the notice or acknowledgment of receipt of the electronic record is not received from the recipient, the electronic record shall not be deemed sent by the originator. (5) Other procedures for acknowledging receipt of an electronic record shall be as prescribed. 12. Time and Place of Transmission and Receipt of Electronic Record: (1) Unless otherwise agreed between the originator and the recipient, the transmission of an electronic record shall be deemed to have occurred when it enters an information system outside the control of the originator. (2) Unless otherwise agreed between the originator and the recipient, the time of receipt of an electronic record shall be determined as prescribed. (3) Unless otherwise agreed between the originator and the recipient, an electronic record shall be deemed to be sent from the place of business of the originator and received at the place of business of the recipient.

Explanation: For the purpose of this sub-section, "place of business" means,-

- (a) if the originator or recipient has more than one place of business, the place of business most closely related to the relevant transaction,
- (b) if the originator or recipient does not have a place of business, the place of residence of that person shall be deemed the place of business. Chapter-4

#### Provisions Relating to Controller and Certification Authority

13. Appointment of Controller and Other Employees: (1) The Government of Nepal may, by publishing a notice in the Nepal Gazette, designate or appoint any authorized employee of the Government of Nepal or any person possessing qualifications as prescribed to the post of Controller.

(2) The Government of Nepal may deploy or appoint as many Deputy Controllers and other employees as necessary to assist in the work to be performed by the Controller under this Act. Employees so deployed or appointed shall work under the direction and control of the Controller. 14. Functions, Duties and Powers of the Controller: The functions, duties and powers of the Controller shall be as follows:

- (a) to grant licenses to Certification Authorities,
  - (b) to supervise and monitor the activities of Certification Authorities,
  - (c) to determine the standards to be maintained by Certification Authorities for verifying digital signatures,
  - (d) to determine the conditions to be followed by Certification Authorities while conducting their business,
  - (e) to determine the format of certificates and the subject matter to be included therein,
  - (f) to determine the procedures to be adopted by Certification Authorities when dealing with subscribers,
  - (g) to maintain records of information published by Certification Authorities under this Act and manage a computer data base accessible to the public and update such data base,
  - (h) to perform other functions as prescribed.
15. Requirement to Obtain a License: No person shall act as or engage in the business of a Certification Authority without obtaining a license under this Act. 16. Application for License: (1) Any interested person possessing qualifications as prescribed who wishes to act as a Certification Authority by issuing certificates under this Act shall submit an application to the Controller in the format as prescribed, accompanied by the fee as prescribed.

(2) An application submitted pursuant to Sub-section (1) shall be accompanied by the following documents:

- (a) details relating to certification,
- (b) documents confirming the identity and verification of the applicant,
- (c) documents disclosing financial resources, manpower and other necessary facilities,
- (d) other documents as prescribed.

(3) If the Controller deems necessary, he or she may request additional documents and details from the applicant to examine the suitability of the applicant to act as a Certification Authority.

If such additional documents and details are requested, no action shall be taken on the application of the applicant until such documents and details are submitted. 17. Other Functions and Duties of Certification Authority: Other functions and duties of a Certification Authority, other than issuing, suspending or revoking certificates, shall be as prescribed. 18. Procedure for Granting License: (1) Upon receipt of an application pursuant to Section 16, the Controller shall, considering the qualifications and whether the applicant has financial and physical resources, manpower and other facilities as prescribed and also considering the documents and details submitted by the applicant, make a decision regarding granting or not granting the license within two months from the date of registration of the application and give notice thereof to the applicant.

(2) While making a decision regarding granting a license pursuant to Sub-section (1), the Controller may inspect the facilities, financial and physical resources available with the applicant.

(3) If the Controller decides to grant a license to the applicant pursuant to Sub-section (1), a license shall be granted to the applicant in the format as prescribed, specifying the validity period of the license and the conditions to be complied with by the applicant.

(4) Other procedures relating to granting a license shall be as prescribed. 19. Renewal of License: (1) A license obtained by a Certification Authority shall be renewed annually.

(2) A Certification Authority wishing to renew its license pursuant to Sub-section (1) shall submit an application to the Controller in the format as prescribed, accompanied by the renewal fee as prescribed, at least two months prior to the expiry of the validity period of the license.

(3) Upon receipt of an application for renewal pursuant to Sub-section (2), the Controller shall complete the procedure as prescribed regarding whether to renew or not renew the license and make a decision at least one month before the expiry of the validity period of the license.

(4) If the Controller decides not to renew the license, the applicant shall be given a reasonable opportunity to present his or her views in relation thereto. 20. Suspension of License: (1) If a Certification Authority has submitted documents or details and financial and physical resources before the Controller which are found to be different or false for obtaining the license, or fails to comply with the conditions to be followed while conducting business, or is found to have violated this Act or the rules made under this Act, the Controller may suspend the license of the Certification Authority pending investigation in relation thereto.

Provided that, before suspending the license, the Certification Authority shall be given a reasonable opportunity to present its defense.

(2) Other procedures relating to suspension of license and provisions in relation thereto shall be as prescribed. 21. Revocation of License: (1) If, from an investigation carried out in the manner as prescribed in relation to the activities of a Certification Authority, any of the following matters are found to have occurred, the Controller may revoke the license issued under this Act at any time:

- (a) if the Certification Authority has failed to comply with the duties required to be fulfilled under this Act or the rules made under this Act,
- (b) if the Certification Authority is found to have submitted false or incorrect details and documents at the time of applying for the license or applying for renewal of the license,
- (c) if the Certification Authority has conducted business in a manner that adversely affects the public interest or the national economy,
- (d) if the Certification Authority has done any act that constitutes an offense under this Act or the rules made under this Act.

(2) Before revoking the license pursuant to Sub-section (1), the Controller shall give the Certification Authority a reasonable opportunity to present its defense.

(3) Other procedures relating to revocation of license shall be as prescribed. 22. Notice of Suspension or Revocation of License: (1) The Controller shall give written notice of the decision to suspend or revoke the license of a Certification Authority pursuant to Section 20 or 21 to such Certification Authority and shall also publish such notice in electronic form by keeping it in its computer data base.

(2) The Controller shall publish the notice of the decision to suspend or revoke the license in at least two national daily newspapers in the Nepali and English languages up to two times. Provided that, the failure to publish such notice shall not affect the decision made by the Controller to suspend or revoke the license pursuant to Section 20 or 21. 23. Recognition of Foreign Certification Authority: (1) The Controller may, with the prior approval of the Government of Nepal, by publishing a notice in the Nepal Gazette, recognize a Certification Authority that has obtained a license to issue certificates under the law of a foreign country, subject to compliance with conditions as prescribed. A foreign Certification Authority so recognized may issue certificates in the State of Nepal under this Act or the rules made under this Act.

(2) The procedure to be adopted while recognizing a foreign Certification Authority as mentioned in Sub-section (1) shall be as prescribed. 24.

Controller May Issue Directions: The Controller may, from time to time, issue directions to require Certification Authorities to comply with the duties required to be fulfilled under this Act or the rules made under this Act regarding the issuance of certificates. It shall be the duty of the Certification Authority to comply with directions so issued. 25. Controller May Delegate Powers: The Controller may delegate all or some of the powers conferred upon him or her under this Act or the rules made under this Act to any authorized employee under him or her, so that such employee may exercise such powers to perform the work to be performed by the Controller. 26. Controller May Conduct Investigation: (1) If the Controller is satisfied that a Certification Authority or any other related person has failed to comply with this Act or the rules made under this Act, the Controller may, himself or herself or through any other authorized employee, conduct or cause to be conducted necessary investigation in relation thereto. (2) It shall be the duty of the Certification Authority to cooperate in the investigation pursuant to Sub-section (1). (3) The procedure to be adopted by the Controller or any other authorized employee in relation to investigations conducted pursuant to Sub-section (1) shall be as prescribed. 27. Performance Audit of Certification Authority: (1) The Controller may, each year, audit or cause to be audited the performance of a Certification Authority. (2) For conducting a performance audit pursuant to Sub-section (1), the Controller may appoint a recognized auditor or computer expert who has specialized in computer security. (3) The Controller shall keep the report of the performance audit conducted pursuant to Sub-section (1) in its computer data base and publish it in electronic form. (4) The qualifications, remuneration and audit procedures of the auditor conducting the performance audit shall be as prescribed. (5) The Controller shall determine the service level of the Certification Authority and publish notice thereof publicly for the information of the general public. 28.

Controller's Access to Computers and Data: (1) If there is reasonable cause to suspect that any person has violated this Act or the rules made under this Act, the Controller shall have the right of access to any computer system, equipment, device, data, information system or any material connected to such system. (2) For the purpose of Sub-section (1), the Controller may direct the owner or other responsible person of any computer system, equipment, device, data, information system or any material connected to such information system to provide technical or other assistance as he or she deems necessary. (3) It shall be the duty of the concerned person to comply with the direction given pursuant to Sub-section (2). 29. Requirement to Maintain Records: (1) The Controller shall maintain records of all certificates issued under this Act. (2) For the purpose of Sub-section (1), to ensure the confidentiality and security of digital signatures, the Controller shall perform the following functions: (a) use a computer security system, (b) implement security procedures to ensure the confidentiality and integrity of digital signatures, (c) comply with standards as prescribed. (3) The Controller shall maintain an updated computer data base incorporated in a computer system of all public keys. (4) The Controller shall provide the public key to any person requesting the availability of the public key for the purpose of verifying a digital signature. Chapter-5 Provisions Relating to Digital Signatures and Certificates 30. Certification Authority May Issue Certificates: Only a Certification Authority that has obtained a license or recognition under this Act may issue digital signature certificates. 31. Application to Obtain Certificate: (1) Any person wishing to obtain a certificate shall submit an application to the Certification Authority in the format as prescribed, accompanied by the fee and details as prescribed. (2) Upon receipt of an application pursuant to Sub-section (1), the Certification Authority shall complete the procedure as prescribed and make a decision regarding issuing or not issuing the certificate to the applicant within one month from the date of receipt of the application. (3) If the Certification Authority decides to issue a certificate pursuant to Sub-section (2), it shall issue a certificate within seven days in the format as prescribed,



containing details as prescribed, with its signature; and if it decides not to issue a certificate, it shall give notice to the applicant within seven days stating the reasons therefor. 32.

**Suspension of Certificate:** (1) A Certification Authority may suspend a certificate in the following circumstances: (a) if the subscriber who obtained the certificate or a person authorized on behalf of such subscriber requests the suspension of such certificate, (b) if it is necessary to suspend the certificate in circumstances contrary to the public interest as prescribed, (c) if, due to non-compliance with the provisions of this Act or the rules made under this Act at the time of issuing the certificate, it appears that there may be significant harm to persons relying on such certificate, and the Controller directs the suspension of such certificate stating the reasons therefor. (2) The grounds and procedures for suspension and lifting of suspension of a certificate shall be as prescribed. 33. **Revocation of Certificate:** (1) The Controller or a Certification Authority may revoke a certificate in the following circumstances: (a) if the subscriber who obtained the certificate or a person authorized on behalf of such subscriber requests the revocation of such certificate, (b) if it is necessary to revoke the certificate in circumstances contrary to the public interest as prescribed, (c) if the subscriber dies, (d) if the subscriber is a company or organized institution, and such organized institution or company is insolvent, dissolved or liquidated under the prevailing law, (e) if it is proven that any condition required to be fulfilled at the time of issuing the certificate was not fulfilled, (f) if any fundamental fact stated in the certificate is proven false, (g) if the key or security system used to create the key pair is altered or modified in a way that materially affects the reliability of the certificate. (2) The procedure to be followed by the Controller or Certification Authority when revoking a certificate shall be as prescribed. 34. **Notice of Suspension or Revocation:** (1) If a certificate is suspended or revoked pursuant to Section 32 or 33, the Certification Authority or the Controller suspending or revoking the certificate shall keep a record thereof and publish notice thereof publicly. (2) It shall be the duty of the Certification Authority or, as the case may be, the Controller to give notice of the suspension or revocation pursuant to Sub-section (1) to the subscriber as soon as possible. Chapter-6 Functions, Duties and Rights of Subscribers 35.

**Creation of Key Pair:** (1) If it is required that the subscriber himself or herself create the key pair containing the public key to be listed in the certificate issued by the Certification Authority and accepted by the subscriber, the subscriber shall use a secure asymmetric crypto system when creating such key pair. (2) Notwithstanding anything written in Sub-section (1), if there is any agreement between the subscriber and the Certification Authority regarding the security system to be used for creating the key pair, or if the Certification Authority has approved a specific system, it shall be the duty of the subscriber to use the security system so agreed or approved. 36. **Acceptance of Certificate:** (1) A subscriber shall be deemed to have accepted a certificate in the following circumstances: (a) if he or she publishes such certificate or authorizes one or more persons to publish it, or (b) if there is any basis to believe that he or she has accepted such certificate. (2) If the certificate is accepted, the subscriber shall be deemed to have guaranteed to any person who relies on any information contained in such certificate the following: (a) that the subscriber is authorized to hold the private key corresponding to the public key listed in the certificate, (b) that all information and details provided by the subscriber to the Certification Authority in the course of issuing the certificate are accurate and correct, and all facts relating to the information contained in the certificate are true, and (c) that, to the best of the subscriber's knowledge and belief, the information stated in the certificate is true and correct. 37. **Secure Keeping of Private Key:** (1) Every subscriber shall exercise due care to keep secure the private key corresponding to the public key listed in the certificate obtained by him or her and shall adopt all necessary measures to prevent any person not authorized to create the subscriber's digital signature from gaining knowledge of such key. (2) If the subscriber's private key is disclosed anywhere for any reason or if such key is tampered with, the subscriber shall give notice thereof to the Certification Authority as soon as possible,

and upon receipt of such notice, the Certification Authority shall immediately suspend the certificate. (3) If a certificate is suspended under this Act, it shall be the duty of the subscriber to keep the private key secure under this section during the period of such suspension. 38.

Submission of Private Key to Controller: (1) If, for the protection of the sovereignty or integrity of the State of Nepal or for maintaining friendly relations with friendly nations, maintaining peace and security, preventing the occurrence of any act that constitutes an offense under the prevailing law, or in other circumstances as prescribed, the Controller deems it necessary and directs any subscriber, stating reasons, to submit the private key to him or her, such subscriber shall immediately submit such private key to the Controller. (2) The Controller shall not inform any unauthorized person about the private key submitted pursuant to Sub-section (1). Chapter-7 Government Use of Electronic Records and Digital Signatures 39. Publication of Government Documents in Electronic Form: (1) The Government of Nepal may publish ordinances, acts, rules, regulations, formation orders, notices or other matters required to be published in the Nepal Gazette under the prevailing law in electronic form as well. (2) Any forms, applications or other documents required to be filed, or any records required to be created, kept or preserved, or any licenses or permits or approvals or certificates required to be issued or given, or any amounts required to be paid, under the prevailing law in a government agency or public body or a bank or financial institution transacting business within the State of Nepal, may also be filed, created, kept or preserved or issued or given or received or payment may be taken through electronic communication means, and such forms, applications, documents, records, licenses, permits or approvals, certificates or payments shall not be denied legal validity merely because of the use of electronic form or electronic communication means. 40.

Acceptance of Documents in Electronic Form: (1) A government agency or public body or a bank or financial institution transacting business within the State of Nepal may also accept documents required to be submitted or filed before it and amounts required to be paid under the prevailing law in electronic form or through electronic communication means, and such documents or payments shall not be denied legal validity merely because of being accepted in electronic form or through electronic communication means. (2) Notwithstanding anything written in Sub-section (1), in circumstances as prescribed and except for government agencies as prescribed, no other government agency or public body or bank or financial institution transacting business within the State of Nepal shall be compelled to accept documents in electronic form or to give or take payment in electronic form, unless such agency or institution is prescribed as one that must accept documents or give or take payment from any person in electronic form. (3) Provisions relating to procedures, processes and formats to be adopted for the purpose of Sub-section (1) shall be as prescribed. 41. Use of Digital Signatures in Government Offices: (1) Where provisions exist that any document or record transmitted or issued by, or accepted or received by, a government agency or public body or a bank or financial institution transacting business within the State of Nepal must bear the signature of the concerned person for its authentication, if the Government of Nepal deems appropriate, it may make provision for a digital signature to be affixed in place of such signature. (2) Notwithstanding anything written elsewhere in this Act, the Government of Nepal may, for the purpose of Sub-section (1), prescribe additional security procedures for the authentication and validity of such digital signature. (3) Provisions relating to the Certification Authority and digital signature certificates for digital signatures used by agencies or institutions pursuant to Sub-section (1) shall be as prescribed. Chapter-8 Provisions Relating to Network Services 42. Liability of Network Service Provider: Intermediaries providing network services as network service providers shall bear the following liabilities in relation to the services so provided: (a) liabilities mentioned in the agreement with the subscriber regarding service provision, (b) liabilities mentioned in the license of the network service provider, and (c) other liabilities as prescribed. 43. Liability to be Borne by Network Service

Provider: Notwithstanding anything written in Section 42, a network service provider shall not be required to bear any criminal or civil liability arising in relation to any fact or detail mentioned or contained in any third party information or data provided in electronic form, merely because of providing access to such information or data.

Provided that a network service provider who knowingly provides access to such information or data knowing that any fact or detail mentioned or contained in such information or data violates this Act or any rules made under this Act shall not be exempt from such liability. Explanation: For the purpose of this section, "third party" means a person for whom the network service provider provides services as an intermediary and over whom the network service provider has no control. Chapter-9

## Computer Related Offenses

44. Theft, Destruction or Alteration of Computer Source Code: Where the prevailing law immediately provides for keeping the source code of a computer resource intact, if any person knowingly or with malicious intent steals, destroys, alters or causes to do such act to the source code of a computer resource used for any computer, computer program, computer system or computer network, such person shall be liable to imprisonment for up to three years or a fine of up to two hundred thousand rupees or both. Explanation: For the purpose of this section, "computer source code" means listing of computer programs, computer commands, computer design and computer layout, and program analysis of computer resources in any form.

45. Unauthorized Access to Computer Content: If any person, with the intention of gaining access to any program, information or data contained in a computer, uses such computer without authorization from the owner or responsible person of that computer, or, even if authorized, does any act with the aim of gaining access to any program, information or data different from what was authorized, such person shall be liable, depending on the gravity of the offense, to a fine of up to two hundred thousand rupees or imprisonment for up to three years or both. 46. Damage to Computer and Information System: If any person, with the intention of wrongfully causing loss or damage to any organization, knowingly destroys, damages, deletes, alters, renders useless, diminishes the value or utility importance of, or causes harmful effect to, any information contained in a computer resource in any manner, or causes another to do such act, such person shall be liable to a fine of up to two hundred thousand rupees or imprisonment for up to three years or both. 47.

Publishing Unlawful Matter in Electronic Form: (1) Any person who publishes or displays materials that are prohibited from publication and display by the prevailing law, or materials against public morality or decency, or materials that spread hatred or enmity against anyone or disturb the cordial relations between different castes, ethnic groups and communities, in computers, the internet and other electronic communication means, added by the Act to Amend Some Nepal Acts to Maintain Gender Equality and End Gender-Based Violence, 2072, teases, harasses, insults or engages in any other kind of indecent behavior against women, or causes another to do so, shall be liable to a fine of up to one hundred thousand rupees or imprisonment for up to five years or both. (2) If any person repeatedly commits the offense under Sub-section (1) (3) If any person publishes a certificate or makes it available to any other person in any manner, knowing that the certificate was not issued by the Certifying Authority mentioned in the certificate, or that the subscriber listed in the certificate has not accepted the certificate, or that the certificate has been suspended or revoked, such person shall be liable to a fine of up to one hundred thousand rupees or imprisonment for up to two years or both. Provided that, if a certificate that has been suspended or revoked is published or made available for the purpose of verifying a digital signature made before such revocation or suspension, it shall not be deemed to have committed an offense under this sub-section. 51. Failure to submit prescribed details or documents: (1) If a person responsible for submitting any details, documents, or reports to the Controller or Certifying

Authority as required by this Act or the rules made under this Act fails to submit such details, documents, or reports within the prescribed time limit, such person shall be liable to a fine of up to fifty thousand rupees. (2) If a person fails to keep any books, registers, records, accounts, etc., which are required to be properly and securely maintained under this Act or the rules made under this Act, such person shall be liable to a fine of up to fifty thousand rupees. 52.

Computer fraud: If any person creates, publishes, or otherwise makes available a digital signature certificate with the intent to commit fraud or any other unlawful act, or manipulates the payment amount of any bill, the balance of any account, any supply and inventory, or payment cards (ATM cards) at any time, or derives benefit by committing fraud in any other manner, the economic benefit so obtained shall be assessed and recovered from the offender for the relevant party, and such offender shall be liable to a fine of up to one hundred thousand rupees or imprisonment for up to two years or both. 53. Abetment to commit computer-related offenses: Any person who abets another to commit any offense under this Act, or attempts to commit such an offense, or is involved in a conspiracy to commit such an offense, shall, depending on the gravity of the offense, be liable to a fine of up to fifty thousand rupees or imprisonment for up to six months or both. 54. Punishment for accomplice: Any person who assists in the commission of any offense under this Act or acts as an accomplice in any other manner shall be liable to half the punishment prescribed for the principal offender. 55. Punishment for offenses committed outside the State of Nepal: Notwithstanding anything contained in the prevailing law, if any person commits any act which is an offense under this Act while outside the State of Nepal, but the computer, computer system, or computer network system involved in such an offense is located in Nepal, such person may be prosecuted and punished under this Act. 56. Confiscation: Any computer, computer system, floppy disk, compact disk, tape drive, software, or other auxiliary equipment used in committing any computer-related offense for which a person is convicted under this Act shall be confiscated. 57. Offense by an organized body: (1) If any act which is an offense under this Act is committed by an organized body, the person primarily responsible for the operation of such organized body at the time of the commission of the offense shall be deemed to have committed the offense.

Provided that, if such a person primarily responsible for the operation of the organized body can prove that the offense occurred without their knowledge or that they had made all reasonable efforts to prevent the offense, such person shall not be held liable for the offense. (2) Notwithstanding anything contained in sub-section (1), if it is proved that an offense committed by an organized body under this Act occurred with the consent or knowledge of, or due to the negligence of, a director, manager, secretary, or other responsible person of such organized body, then such organized body and such director, manager, secretary, or other responsible person shall be deemed to have committed the offense. 58. Other punishments: If any provision of this Act or the rules made under this Act is violated and no specific punishment has been provided for such violation, the violator shall, depending on the gravity of the violation, be liable to a fine of up to fifty thousand rupees or imprisonment for up to six months or both. Added by the Act to Amend Some Nepal Acts to Maintain Gender Equality and End Gender-Based Violence, 2072.58A. Compensation to be awarded: The Tribunal may, considering the loss or damage caused to the person harmed by an offense under this Chapter, order the offender to pay reasonable compensation. 59. No bar to punishment under prevailing law: If any act which constitutes an offense under this Act also constitutes an offense under any other prevailing law, nothing in this Act shall be deemed to bar separate proceedings and punishment for such an offense. Chapter-10 Provisions Relating to Information Technology Tribunal 60.

Formation of Tribunal: (1) The Government of Nepal shall, by publishing a notice in the Nepal Gazette, form a three-member Information Technology Tribunal consisting of a Law Member, an Information Technology

Member, and a Commerce Member from among persons meeting the qualifications under section 61, to conduct original proceedings and adjudication of the offenses referred to in Chapter 9. (2) The Law Member shall be the Chairperson of the Tribunal. (3) The Tribunal shall exercise its jurisdiction as prescribed. (4) A person aggrieved by a decision or order of the Tribunal may appeal to the Appellate Tribunal within thirty-five days from the date of such order or decision. (5) Notwithstanding anything elsewhere contained in this section, until the Tribunal is formed under sub-section (1), the jurisdiction to conduct original proceedings and adjudication of the offenses referred to in Chapter 9 shall vest in the relevant District Court.

61. Qualification of members of the Tribunal: (1) A person who has knowledge of information technology and has been, or is qualified to be, a Judge of a District Court shall be qualified to be the Law Member of the Tribunal. (2) A Nepali citizen who has at least a master's degree in computer science or information technology and has at least three years of experience in the field of electronic transactions, information technology, or electronic communication shall be qualified to be the Information Technology Member of the Tribunal. (3) A Nepali citizen who has at least a master's degree in management or commerce and has expertise in the field of electronic transactions and at least three years of experience in the relevant field shall be qualified to be the Commerce Member of the Tribunal.

62. Term of office, remuneration, and service conditions of members of the Tribunal: (1) The term of office of a member of the Tribunal shall be five years, and they shall be eligible for reappointment. (2) The remuneration and other service conditions of members of the Tribunal shall be as prescribed. (3) Each member of the Tribunal shall, after appointment and before assuming office, take an oath of office and confidentiality before the Chief Judge of the relevant High Court in the prescribed format.

63.

Circumstances for vacancy and filling of vacancy: (1) The office of a member of the Tribunal shall become vacant in any of the following circumstances:- (a) upon expiry of the term, (b) upon attaining the age of sixty-three years, (c) upon death, (d) upon resignation, (e) upon conviction by a court for a criminal offense involving moral turpitude, or (f) upon being proven, after investigation by the Government of Nepal on charges of misconduct or incapacity to perform duties, to have engaged in misconduct or to be incapable of performing duties. Provided that a member of the Tribunal against whom a charge under this clause is made shall be given a reasonable opportunity to present a defense. (2) Notwithstanding anything contained in clause (f) of sub-section (1), if the Law Member of the Tribunal is a sitting judge, the investigation shall be conducted in accordance with the prevailing law relating to their service conditions and facilities. (3) The procedure for investigation for the purposes of clause (f) of sub-section (1) shall be as prescribed. (4) If the office of a member of the Tribunal becomes vacant under sub-section (1), the Government of Nepal shall fill the vacant office for the remaining term from among persons meeting the qualifications under section 61.

64. Staff of the Tribunal: (1) The Government of Nepal shall provide the staff necessary for the Tribunal to perform its functions. (2) Other provisions relating to the staff of the Tribunal shall be as prescribed.

65. Procedure to be followed by the Tribunal: The Tribunal shall adopt the procedure as prescribed while conducting original proceedings and adjudication of cases under section 60.

Chapter-11 Provisions Relating to Information Technology Appellate Tribunal

66. Establishment and formation of Appellate Tribunal: (1) The Government of Nepal shall, by publishing a notice in the Nepal Gazette, form a three-member Information Technology Appellate Tribunal consisting of a Law Member, an Information Technology Member, and a Commerce Member from among persons meeting the qualifications under section 67, to hear appeals against decisions or orders made by the Tribunal and to hear appeals against decisions or orders made by the Controller or Certifying Authority under this Act. (2) The Law Member shall be the Chairperson of the Appellate Tribunal. (3) The jurisdiction of the Appellate Tribunal shall be exercised as prescribed.

67.

Qualification of members of the Appellate Tribunal: (1) A person who has knowledge of information

technology and has been, or is qualified to be, a Judge of a High Court shall be qualified to be the Law Member of the Appellate Tribunal. (2) A Nepali citizen who has at least a master's degree in computer science or information technology and has at least five years of experience in the field of electronic transactions, information technology, or electronic communication shall be qualified to be the Information Technology Member of the Appellate Tribunal. (3) A Nepali citizen who has at least a master's degree in management or commerce and has expertise in the field of electronic transactions and at least five years of experience in the relevant field shall be qualified to be the Commerce Member of the Appellate Tribunal. 68. Term of office, remuneration, and service conditions of members of the Appellate Tribunal: (1) The term of office of a member of the Appellate Tribunal shall be five years, and they shall be eligible for reappointment. (2) The remuneration and other service conditions of members of the Appellate Tribunal shall be as prescribed. (3) Each member of the Appellate Tribunal shall, after appointment and before assuming office, take an oath of office and confidentiality before the Chief Justice of the Supreme Court in the prescribed format. 69. Circumstances for vacancy and filling of vacancy: (1) The office of a member of the Appellate Tribunal shall become vacant in any of the following circumstances:- (a) upon expiry of the term, (b) upon attaining the age of sixty-three years, (c) upon death, (d) upon resignation, (e) upon conviction by a court for a criminal offense involving moral turpitude, or (f) upon being proven, after investigation by the Government of Nepal on charges of misconduct or incapacity to perform duties, to have engaged in misconduct or to be incapable of performing duties. Provided that a member of the Appellate Tribunal against whom a charge under this clause is made shall be given a reasonable opportunity to present a defense. (2) Notwithstanding anything contained in clause (f) of sub-section (1), if the Law Member of the Appellate Tribunal is a sitting judge, the investigation shall be conducted in accordance with the prevailing law relating to their service conditions and facilities. (3) The procedure for investigation for the purposes of clause (f) of sub-section (1) shall be as prescribed. (4) If the office of a member of the Appellate Tribunal becomes vacant under sub-section (1), the Government of Nepal shall fill the vacant office for the remaining term from among persons meeting the qualifications under section 67. 70.

Staff of the Appellate Tribunal: (1) The Government of Nepal shall provide the staff necessary for the Appellate Tribunal to perform its functions. (2) Other provisions relating to the staff of the Appellate Tribunal shall be as prescribed. 71. Procedure to be followed by the Appellate Tribunal: The Appellate Tribunal shall adopt the procedure as prescribed while conducting proceedings and adjudication of appeals filed before it. Chapter-12 Miscellaneous 72. May make arrangements by agreement: Parties involved in creating, transmitting, receiving, storing, or otherwise processing electronic records may, by agreement, make arrangements for their activities relating thereto such that any or all of the provisions of Chapter 3 do not apply, or that the provisions mentioned in that Chapter are modified accordingly, and their activities shall be regulated accordingly. 73. Government of Nepal may issue directives: The Government of Nepal may issue necessary directives to the Controller and Certifying Authorities in relation to the implementation of this Act, and it shall be the duty of the Controller and Certifying Authorities to comply with such directives. 74. Limitation for making complaints: In case of a violation of this Act or the rules made under this Act, or the occurrence of any act which is an offense under this Act, a complaint shall be made within Amended by the Act to Amend Some Nepal Acts, 2062.ninety days from the date of knowledge of such violation or offense. 75. Government of Nepal to be plaintiff: (1) Cases involving offenses under this Act shall be instituted with the Government of Nepal as the plaintiff, and such cases shall be deemed to be Converted by the Act to Amend, Consolidate, Adjust, and Repeal Some Nepal Laws, 2074, and amended by the Act to Amend Some Nepal Acts Relating to the Muluki Criminal Code, 2075.included in Schedule 1 of the Muluki Criminal Procedure Code, 2074. (2) While investigating a case under sub-section (1), the police shall take the assistance of the

Controller or other relevant experts. 76. Compensation to be recovered: If any person has suffered any kind of loss or damage due to an offense committed under this Act, compensation for such loss or damage shall also be recovered from the offender. 77.

Act not to apply: (1) Notwithstanding anything elsewhere contained in this Act, this Act shall not apply to the following matters:- (a) Negotiable instruments as mentioned in the Negotiable Instruments Act, 2034, (b) Deeds of gift, relinquishment, mortgage, covenant, bond, or instruments of similar nature transferring rights in immovable property, (c) Any other instruments evidencing rights or title over immovable property, (d) Powers of attorney, complaints, written statements, or other similar documents used in court proceedings, (e) Statements of claim, counterclaims, statements of defense, or other similar documents required to be submitted in writing in arbitration proceedings, (f) Documents which the prevailing law prescribes shall not be kept in electronic form. (2) Notwithstanding anything contained in sub-section (1), the Government of Nepal may, by publishing a notice in the Nepal Gazette, add to or subtract from the instruments mentioned in sub-section (1) as necessary. 78. Power to make rules: The Government of Nepal may make necessary rules for the fulfillment of the objectives of this Act. 79. May prepare and implement directives: For the fulfillment of the objectives of this Act, the Government of Nepal may, subject to this Act and the rules made under this Act, prepare and implement necessary directives. 80. Effect of lapse of the Electronic Transactions Ordinance, 2062: After the lapse of the Electronic Transactions Ordinance, 2062, unless a contrary intention appears, such lapse shall not:- (a) revive anything not in force or existing at the time of the lapse of the Ordinance, (b) affect the previous operation of anything done under the Ordinance or any action duly taken or any thing already enjoyed under it, (c) affect any right, privilege, obligation, or liability acquired, accrued, or incurred under the Ordinance, (d) affect any penalty, forfeiture, or punishment incurred under the Ordinance, (e) affect any investigation, legal proceeding, or remedy in respect of any such right, privilege, obligation, liability, penalty, forfeiture, or punishment; and any such legal proceeding or remedy may be instituted, continued, or enforced as if the Ordinance had not lapsed.